

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR
6 HOUSE BILL NO. 4305

By: Blair of the House

and

Frix of the Senate

7
8
9
10 COMMITTEE SUBSTITUTE

11 [revenue and taxation - real property - terms -
12 method - fair cash value - credits - rates - audit
13 - codification - effective date]

14
15
16 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

17 SECTION 1. NEW LAW A new section of law to be codified
18 in the Oklahoma Statutes as Section 2865.1 of Title 68, unless there
19 is created a duplication in numbering, reads as follows:

20 A. As used in this act:

21 1. "Active construction" means any property that is being
22 constructed or renovated that has yet to place in service all of its
23 buildings;

1 2. "Audit" means an audit of the financial operations of the
2 property provided by a third-party certified public accountant or
3 financial statements certified by the organization to be true and
4 accurate;

5 3. "Lease-up" means any property that has an actual occupancy
6 of less than ninety percent (90%), that is under or has been under
7 active construction, and is in the process of leasing units;

8 4. "Net operating income" means gross restricted rent income
9 from the property minus operating expenses and replacement reserve
10 deposits, before debt service, depreciation, amortization, capital
11 expenditures, and income taxes;

12 5. "Organization" means a property owner meeting the
13 requirements under subsection B of this section; and

14 6. "Restricted rent" means the actual rental rates that are
15 restricted by the programs described in subsection B of this
16 section.

17 B. This act shall only apply to real property owned by an
18 organization:

19 1. For the purpose of renting the property to a low income or
20 moderate income individual or family who satisfies the
21 organization's income eligibility requirements;

22 2. That was financed in whole or in part through allocation of
23 the federal low-income housing tax credit authorized pursuant to
24 Section 43 of the Internal Revenue Code, 26 U.S.C., Section 42, and

1 is subject to a land use agreement or regulatory agreement that has
2 not expired or been terminated;

3 3. That does not receive exempt treatment under Section 2887 of
4 this title; and

5 4. The owner of which has not entered into any agreement with
6 any taxing unit to make payments to the taxing unit instead of taxes
7 on the property.

8 C. In determining the fair cash value of a property described
9 in subsection B of this section, the county assessor shall determine
10 the fair cash value of property that is under active construction or
11 lease-up on January 1 of the current tax year in the manner provided
12 by Section 8 of Article X of the Oklahoma Constitution using the
13 restricted rent income approach method, provided that the county
14 assessor shall estimate the property's net operating income based on
15 the organization's projected restricted rent income and expenses for
16 the first full year of operation, as adjusted to reflect the average
17 occupancy during the lease-up period.

18 D. In determining the fair cash value for a property for any
19 subsequent tax year, the county assessor shall determine the fair
20 cash value of the property based upon the restricted rent income
21 approach method utilizing the property's net operating income from
22 the audit provided by the organization.

23 E. In determining the fair cash value of property described in
24 subsection B of this section, the county assessor shall not consider

1 the value or any amount of any federal or state low-income housing
2 tax credits as a component of the fair cash value or income
3 attributable to the property.

4 F. The county assessor shall determine a formal process for
5 determining market-derived capitalization rates to be applied to the
6 property's net operating income based on project and investor data
7 for comparable properties with restricted rents.

8 G. Not later than May 1 of each year, the organization shall
9 deliver to the county assessor the audit for the preceding year.
10 The county assessor may extend the deadline for good cause shown.

11 SECTION 2. This act shall become effective January 1, 2027.
12

13 COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
14 03/09/2026 - DO PASS, As Amended and Coauthored.
15
16
17
18
19
20
21
22
23
24